

the usage and adoption of digital payments in better developed regions.

But, even so, cash usage is expected to reduce because of the rapid growth in the QR code infrastructure, matched by the increase in smartphone users. "Margins are wafer thin in digital payments, and the government should look to incentivise the players that aid penetration," says Seema Prem, Co-founder & CEO at banking correspondent firm FIA Global.

Of course, more needs to be done on cybersecurity and to mitigate risks from scammers. Anush Raghavan, President of Cash Management Solutions at CMS Info Systems, says, "As a physical payment mechanism, cash

strongly demonstrates its store of value and bridges trust in a transaction with consumers globally, which cannot be fulfilled by any other digital payments."

But, other disruptions are afoot, most notably RBI's move to develop a central bank digital currency (CBDC). Jose Thattil, CEO of fintech firm PhiCommerce, says, "This indicates a balanced, inclusive approach to economic growth, adapting to both established habits and modern needs, and represents a seamless integration of traditional and digital financial practices."

For the present, though, cash is still king. **BT**

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loans are chargeable from day one. Moghe explains, "The credit card is the only product where there is a credit-free period. The industry is working on issues like interchange fees, MDR, and the credit-free period." Asbe says this initiative is still a work in progress. But there are challenges here, because small-ticket loans are considered risky. RBI's recent decision to increase risk weights on unsecured loans highlights this.

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ASBE OFTEN TALKS about achieving 100 billion transactions per month by 2025. However, the



“WE ASPIRE TO PLAY A BIGGER ROLE GLOBALLY”

NIPL CEO Ritesh Shukla on international expansion and cross-border transactions

BY ANAND ADHIKARI

RITESH SHUKLA, CEO of NPCI International Payments Ltd (NIPL), the global arm of the National Payments Corporation of India (NPCI), is taking the home-grown UPI global. The mission is to replicate the success of UPI on a global scale by partnering with payments facilitators, offering domestic card schemes like RuPay Card, and promoting UPI interoperability for cross-border transactions. He shares with *Business Today* his insights on the vision, strategy, and progress of global UPI deployment. Edited excerpts:



Tell us about globalising the UPI. What are the key pillars of NPCI's strategy?

We work very closely with the government and the Reserve Bank of India (RBI). The globalisation of UPI comprises two key aspects. The first is infrastructure. This entails extending the UPI stack, which is part of the India Stack, to other countries. We collaborate with their central banks or entities authorised by the central banks to help create a system similar to UPI in their markets.

The second aspect focusses on interoperability. We empower UPI users in India to conduct merchant payments globally. There is also a cross-border opportunity. Currently, about 30 million Indians live outside the country, sending \$125 billion into the country. Basically, we are creating a digital pipeline for people to do people-to-people (P2P) and people-to-merchant (P2M) transactions. For example, the tie-up with Singapore was sponsored by RBI and the Monetary Authority of Singapore. Similarly, RBI